

MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

Unless otherwise noted, the section references to (i) “us”, “our”, “we”, “the Company” and “YUM” refer to YUM! Brands, Inc. and its consolidated subsidiaries, (ii) “the Parent” refers to YUM! Brands, Inc., on a stand-alone basis, (iii) “the Issuers” refers to KFC Holding Co., Pizza Hut Holdings, LLC and Taco Bell of America, LLC, which are direct wholly-owned subsidiaries of the Parent and co-issuers of \$750 million of 4.75% Senior Notes due 2027 (the “Subsidiary Senior Unsecured Notes”) and co-borrowers under the Credit Agreement, as defined in our annual report on Form 10-K for the year ended December 31, 2022 filed with the SEC (the “2022 10-K”) on February 24, 2023; (iv) “the Specified Guarantors” refers to collectively Yum Restaurant Services Group, LLC, Restaurant Concepts LLC and Taco Bell Corp. (including their subsidiaries except for Taco Bell Funding, LLC and its special-purpose, wholly owned subsidiaries), which are directly wholly-owned subsidiaries of the Parent and guarantors of the Subsidiary Senior Unsecured Notes and under the Credit Agreement; (v) “the Companies” refers to collectively the Issuers and the Specified Guarantors, (vi) “the Taco Bell Securitization Entities” refers to collectively Taco Bell Funding, LLC, a Delaware special purpose limited liability company and wholly owned subsidiary of Taco Bell Corp, and its special-purpose, wholly owned subsidiaries, (vii) “the Habit Entities” refers to collectively The Habit Restaurants, Inc., The Habit Restaurants, LLC, HBG Franchise, LLC, and Habit Employment, L.P. and (viii) the “Restricted Group” refers collectively to the Companies and their subsidiaries, other than the Taco Bell Securitization Entities which will not be subject to the covenants under the Indenture governing the Subsidiary Senior Unsecured Notes and the Credit Agreement, and also excludes the Parent and ABR Insurance Company which will not be subject to such covenants as well.

This discussion should be read in conjunction with the Condensed Consolidated Financial Statements (“Financial Statements”) and the section “Management’s Discussion and Analysis of Financial Condition and Results of Operations” contained in our quarterly report on Form 10-Q for the quarter ended March 31, 2023 as filed with the SEC on May 8, 2023 (the “First Quarter 10-Q”) and contains additional information related to the pro forma results of operations and financial condition of the Restricted Group. None of the financial information in this discussion has been audited or reviewed by our auditors. This discussion has been prepared and posted to our website in accordance with our reporting obligations under the Indenture governing the Subsidiary Senior Unsecured Notes and the Credit Agreement. You should read the following Restricted Group’s pro forma results of operation and financial condition together with the information included in our 2022 10-K, especially the information under the heading “Risk Factors”.

Pro Forma Results of Operations for the Restricted Group

The following table sets forth certain unaudited financial and operating data of the Restricted Group as of the dates and for the periods indicated after giving pro forma effect to the exclusion of the Taco Bell Securitization Entities and the exclusion of Parent Entity Expenses from the Restricted Group.

(in millions)	Quarter ended		
	2023	2022	% B/(W)
Company sales	\$ 474	\$ 470	1
Franchise and property revenues	593	557	6
Franchise contributions for advertising and other services	401	363	10
Total revenues	<u>\$ 1,468</u>	<u>\$ 1,390</u>	5
G&A expenses	\$ 260	\$ 231	(11)
Operating Profit	\$ 355	\$ 362	(2)

Unit Count	3/31/2023	3/31/2022	% Increase (Decrease)
Franchise	47,935	46,433	3
Company-owned	1,002	1,062	(6)
Total	<u>48,937</u>	<u>47,495</u>	3

	Quarter ended	
	2023	2022
Same-store Sales Growth (Decline) %	8%	3%
System Sales Growth (Decline) %, reported	5%	7%
System Sales Growth (Decline) %, excluding FX	11%	9%

Parent Entity Expenses:

Amounts transferred to or on behalf of Yum! Brands, Inc. as Parent Entity Expenses (as defined in the Indentures) or operating costs and expenses incurred in the ordinary course of business (as permitted by the Credit Agreement) are excluded from G&A expenses of the Restricted Group. G&A expenses of the Restricted Group were reduced for such costs by \$3 million and \$4 million for the quarters ended March 31, 2023 and 2022, respectively.

Pro Forma Results of Operations for the Taco Bell Division of the Restricted Group

The following table sets forth certain unaudited financial and operating data of the Taco Bell Division of the Restricted Group

as of the dates and for the periods indicated after giving pro forma effect to the exclusion of the Taco Bell Securitization Entities from the Restricted Group.

(in millions)

	Quarter ended			
	2023	2022	% B/(W)	
			Reported	Ex FX
System Sales	\$ 446	\$ 395	13	15
Same-Store Sales Growth %	5	8	N/A	N/A
Company sales	\$ 229	\$ 214	7	7
Franchise and property revenues	24	22	7	9
Franchise contributions for advertising and other services	142	124	14	14
Total revenues	<u>\$ 395</u>	<u>\$ 360</u>	9	10
G&A expenses	\$ 26	\$ 18	(40)	(41)
Franchise and property expenses	5	6	14	16
Franchise advertising and other services expense	138	123	(12)	(12)
Operating Profit	\$ 33	\$ 34	(2)	-

Unit Count	3/31/2023	3/31/2022	% Increase (Decrease)
Franchise	1,060	810	31
Company-owned	470	464	1
	<u>1,530</u>	<u>1,274</u>	20

Company Sales. The quarterly increase in Company sales was driven by company same-store sales growth of 7% and unit growth partially offset by refranchising.

G&A Expenses. The quarterly increase in G&A was driven by higher digital and technology expenses, higher headcount and salaries and higher travel related expenses, partially offset by higher management fees paid by the Taco Bell Securitization Entities.

Operating Profit. The quarterly decrease in Operating Profit was driven by higher restaurant operating costs and higher G&A, partially offset by same-store sales growth and unit growth.

Taco Bell Securitization Entities:

The Securitization Transaction and the exclusion of the Taco Bell Securitization Entities from the Restricted Group had the following pro forma impact on the financial and operating data of the Restricted Group and the Taco Bell Division of the Restricted Group in comparison to the corresponding data of YUM and the Taco Bell Division:

Units

- A total of 6,746 and 6,557 U.S. Taco Bell franchise units were excluded from the Restricted Group as of March 31, 2023 and 2022, respectively, as the Restricted Group no longer receives franchise fees from these restaurants.

Franchise and Property Revenues

- Franchise and property revenues of \$177 million and \$157 million were excluded from the Restricted Group for the quarters ended March 31, 2023 and 2022, respectively, due to the exclusion of the franchise fees paid by all U.S. Taco Bell franchise restaurants as a result of the Securitization Transaction.

Company Restaurant Expenses

- The Restricted Group includes \$13 million and \$12 million of additional company restaurant expenses for the quarters ended March 31, 2023 and 2022, respectively, due to the payment of royalty fees of 5.5% of annual sales to the Taco Bell Securitization Entities by all U.S. Company-owned Taco Bell restaurants (which are part of the Restricted Group).

G&A Expenses

- Management fees of \$19 million and \$18 million for the quarters ended March 31, 2023 and 2022, respectively, were paid by the Taco Bell Securitization Entities to Taco Bell Corp. as manager of the Taco Bell Securitization Entities, and were recorded as a reduction of G&A expenses for the Restricted Group.
- These management fees, on an annual basis, are equal to the sum of a base fee of approximately \$30 million (subject to 2% per annum escalation, compounded annually) plus 8.7% of total securitization cash revenue paid to the Taco Bell Securitization Entities by U.S. company stores and U.S. franchisees for the year.

Consequently, the overall operating margins of the Restricted Group are negatively impacted due to the exclusion of franchise and license fees from U.S. Taco Bell franchised restaurants and the Restricted Group's obligation to pay franchise fees on U.S. Taco Bell Company-owned restaurants to the Taco Bell Securitization Entities, with no corresponding reduction of Restricted Group expenses (other than a partial offset by the management fee paid to the Restricted Group by the Taco Bell Securitization Entities as reimbursement for a portion of G&A expenses).